

Q1.Many startups fail when they try to build a “Swiss knife” product because they:

- A. Add too many engineers
- B. Try to solve too many problems at once
- C. Spend too much on marketing
- D. File too many patents

Correct Answer: B

Q2.The “Swiss knife” analogy in startups mainly warns against:

- A. Using complex technology
- B. Ignoring investors
- C. Over-engineering before understanding users
- D. Launching too early

Correct Answer: C

Q3. According to CB Insights, one of the top reasons startups fail is:

- A. Poor branding
- B. Founder conflict
- C. No market need
- D. Lack of office space

Correct Answer: C

Q4.“No market need” means:

- A. The product is too expensive for most customer segments
- B. Customers do not want or value the solution enough
- C. The startup has no competitors
- D. The product is technologically weak

Correct Answer: B

Q5.In the traditional startup approach, which step usually happens first?

- A. Customer testing
- B. Product launch
- C. Idea / concept definition
- D. Pivot decision

Correct Answer: C

Q6.A key risk in the traditional Concept → Build → Launch model is that:

- A. Products are launched too fast
- B. Customer feedback comes very late
- C. Teams iterate too frequently
- D. Costs are always low

Correct Answer: B

Q7.The Lean Startup approach primarily aims to:

- A. Build perfect products
- B. Eliminate competitors to keep the market clean and lean
- C. Reduce the cost of being wrong
- D. Increase funding faster

Correct Answer: C

Q8. In Lean thinking, "waste" refers to:

- A. Employees wasting money and resources in doing non-essential activity
- B. Any effort that does not create customer value
- C. Time spent on meetings
- D. Unused office space

Correct Answer: B

Q9. Which of the following is an example of waste in a startup?

- A. Talking to customers
- B. Testing a prototype
- C. Building features no one asked for
- D. Releasing an MVP

Correct Answer: C

Q10. Why is the cost of being wrong higher in non-lean startups?

- A. They test ideas too early
- B. They invest heavily before validation
- C. They avoid building products
- D. They pivot too often

Correct Answer: B

Q11. What does rapid prototyping help startups achieve?

- A. Faster investor funding
- B. Early customer feedback
- C. Better marketing campaigns
- D. Higher valuation

Correct Answer: B

Q12. Which statement best describes Lean Startup philosophy?

- A. Build and test everything before launching your product
- B. Learn fast by testing assumptions early
- C. Avoid failure at all costs
- D. Focus only on technology

Correct Answer: B

Q13. Which of the following is NOT a core component of the Lean Startup approach?

- A. Business Model Canvas (BMC)
- B. Customer Development
- C. Agile Development
- D. Detailed 5-year business plan

Correct Answer: D

Q14. Customer Development mainly focuses on:

- A. Hiring customers
- B. Validating assumptions through customer interactions
- C. Scaling sales teams
- D. Writing technical specifications

Correct Answer: B

Q15. Agile development in a startup primarily enables:

- A. Fixed requirements from customers or internal decision makers
- B. Long release cycles with teams working more hours
- C. Iterative and flexible product building
- D. Zero documentation

Correct Answer: C

Q1. A startup team insists on finalizing a detailed business plan before speaking to any users. According to the Customer Development Manifesto, the fundamental flaw in this approach is that:

- A. Business plans are only for large companies
- B. There are no facts inside the building
- C. Agile development forbids planning
- D. Investors dislike documentation

Correct Answer: B

Q2. In the Customer Development process, which activity must occur before “Customer Creation”?

- A. Company Building
- B. Customer Validation
- C. Market Expansion
- D. Revenue Scaling

Correct Answer: B

Q3. A team builds a prototype immediately after brainstorming an idea, without interviewing customers. According to the Customer Discovery Overview, what critical principle are they violating?

- A. Test the solution before the problem
- B. Focus on channels first
- C. Build the MVP before hypotheses
- D. Execute before search

Correct Answer: A

Q4. The phrase “Stop selling, start listening” primarily emphasizes which step of Customer Development?

- A. Customer Creation
- B. Company Building
- C. Customer Discovery
- D. Customer Validation

Correct Answer: C

Q5. A startup tests its solution with users but has not yet verified whether the problem is significant. According to the process framework, this is risky because:

- A. Testing solutions is more expensive
- B. Problem testing must precede solution testing
- C. Early adopters dislike prototypes

D. Channels are not defined yet

Correct Answer: B

Q6. A team successfully validates that customers will pay for their product. According to the model, what should they do next?

- A. Redesign their BMC from scratch
- B. Begin Customer Creation
- C. Return to hypothesis stage
- D. Immediately build the company

Correct Answer: B

Q7. During Phase 1 (State Hypotheses), which of the following must be captured on the Business Model Canvas?

- A. Only the revenue model
- B. Problem, customer, market size, channels, value proposition
- C. Marketing budget and hiring plan
- D. Competitor pricing strategy

Correct Answer: B

Q8. A startup continues spending heavily on marketing despite having no proof of repeatable sales. Which Customer Development principle are they violating?

- A. Preserve cash while searching
- B. Agree on market type
- C. Startups demand chaos
- D. Combine agile with customer development

Correct Answer: A

Q9. According to Step 2: Customer Validation, identifying early adopters is essential primarily to:

- A. Maximize brand visibility
- B. Validate product–market fit
- C. Build company culture
- D. Raise venture funding

Correct Answer: B

Q10. A team realizes during testing that their assumed target customer is wrong. According to the framework, the correct response is to:

- A. Continue executing to save time
- B. Iterate or pivot

- C. Scale marketing
- D. Build the company

Correct Answer: B

Q11. The “Search vs Execute” distinction in Customer Development implies that:

- A. All startups must execute immediately
- B. Early stages focus on discovering a business model
- C. Execution precedes validation
- D. Search refers only to online marketing

Correct Answer: B

Q12. A startup refuses to change direction even after repeated failed experiments. Which Manifesto principle are they ignoring?

- A. No business plan survives first contact with customers
- B. Startups demand comfort with chaos
- C. Failure is integral to search
- D. Communicate and share learning

Correct Answer: C

Q13. A team conducts 50 customer interviews to understand pain points before designing any solution. This activity belongs to which phase?

- A. Test the Problem
- B. Test the Solution
- C. Customer Creation
- D. Company Building

Correct Answer: A

Q14. When the framework states “Don’t create something if you can’t show sales”, it primarily applies to:

- A. Customer Discovery
- B. Customer Validation
- C. Customer Creation
- D. Company Building

Correct Answer: C

Q15. A startup restructures its internal organization after achieving product–market fit. According to the model, this indicates entry into:

- A. Customer Discovery
- B. Customer Validation

- C. Customer Creation
- D. Company Building

Correct Answer: D

Q16. Which of the following best describes the goal of Phase 4: Iterate, Pivot or Proceed?

- A. Building MVP prototypes
- B. Recruiting founding team
- C. Verifying viability of the business
- D. Identifying early adopters

Correct Answer: C

Q17. The statement “There are no facts inside your building” implies that:

- A. Internal meetings are unproductive
- B. Only external customer interactions generate validated learning
- C. Business plans are useless
- D. Teams should avoid office work

Correct Answer: B

Q18. A startup defines its opportunity using NABC. Which element ensures competitive differentiation?

- A. Need
- B. Approach
- C. Benefits
- D. Competition

Correct Answer: B

Q19. According to the “9 Deadly Startup Sins”, one major cause of failure is:

- A. Excessive prototyping
- B. Lack of customer validation
- C. Overuse of agile methods
- D. Hiring too early

Correct Answer: B

Q20. A founding team consists only of visionaries with no execution-focused members. According to Lean Startup Team principles, the missing role is primarily:

- A. Hacker
- B. Hustler
- C. Visionary

D. Investor

Correct Answer: B

1. What is the main reason startups should "Get Out of the Building"?

- a) To escape office distractions and focus better
- b) To attend networking events and conferences
- c) To visit competitor locations and observe
- d) Insights come from real customers

Correct answer: D

2. In the XYZ Hypothesis format, what does "Y" represent?

- a) The target market
- b) The percentage of successful adoption expected
- c) The specific action customers will take
- d) The time frame for complete validation

Correct answer: A

3. What should you do during interviews, "Listen, don't _____"

- a) Judge
- b) Assume
- c) Talk
- d) Write

Correct answer: C

4. What happens in Phase 4 of Customer Discovery?

- a) Market Launch
- b) Scaling
- c) hypotheses
- d) Pivot or Proceed

Correct answer: D

5. MVP stands for:

- a) Minimum Viable Product
- b) Most Valuable Product
- c) Market Validation Plan
- d) Maximum Value Prototype

Correct answer: A

6. According to the Customer Development Manifesto, what drives iterations and pivots?

- a) Data only
- b) Insight and not just data
- c) Investor feedback
- d) Market trends

Correct answer: B

7. What does WIP stand for in hypothesis validation results?

- a) Work In Progress
- b) Weekly Implementation Plan document
- c) Winning Investment Proposition pitch
- d) Waiting for Information and Proof

Correct answer: A

8. What should be validated before scaling?

- a) Cost-Revenue Fit
- b) Team-Market Fit
- c) Product-Market Fit
- d) Problem-Solution Fit

Correct answer: D

9. What are the three characteristics a pretotype should NOT have?

- a) Simple, cheap, quick to build
- b) Expensive, time-consuming, complex
- c) Visual, tangible, testable
- d) Paper-based, digital, native

Correct answer: B

10. What does QRST Hypothesis stand for?

- a) Quantifiable, Resource-efficient, Specific, Testable
- b) Quick, Reliable, Simple, Testable
- c) Quantifiable, Relevant, Specific, Timely
- d) Quick, Resource-efficient, Simple, True

Correct answer: A

11. What should startups search for, not execute?

- a) A business model
- b) A product to build
- c) A market to enter
- d) Investors to fund

Correct answer: A

12. What are the four buckets for hypothesis validation results?

- a) Validated, Invalidated, WIP, Unclear results
- b) Pass, Fail, Pending, Unclear
- c) Success, Failure, In Progress, Unknown
- d) Approved, Rejected, Testing, Undecided

Correct answer: A

13. What is the order of artifact fidelity from low to high?

- a) Native, Digital, Paper based artifacts
- b) Digital, Paper-based, Native versions
- c) Native versions, Paper, Digital formats
- d) Paper, Digital, Native

Correct answer: D

14. Which of the following best defines an early adopter?

- a) Any potential customer
- b) Customers with urgent unmet needs
- c) Customers who wait for maturity
- d) Customers influenced by branding

Correct answer: B

15. What should you do if your hypothesis targets a global market?

- a) Test globally immediately to save time
- b) Delay testing until global reach is achieved
- c) Think global, test local
- d) Focus only on local markets forever

Correct answer: C

Q1. In Customer Discovery Phase 1, the primary output is:

- A. A fully tested product prototype ready for market launch
- B. Customer validation through repeatable sales processes
- C. Business Model Canvas capturing your hypotheses
- D. Detailed financial projections for investor presentations

Correct Answer: C

Q2. According to the QRST framework, the "S" stands for:

- A. Scalable
- B. Strategic
- C. Specific
- D. Sustainable

Correct Answer: C

Q3. In Phase 2 "Test the Problem", what is the primary goal?

- A. Validating problem hypotheses before testing solutions
- B. Building the minimum viable product for customers
- C. Finalizing the revenue model and pricing strategy
- D. Recruiting early adopters for product launch

Correct Answer: A

Q4. According to the Experiments vs. Interviews table, which approach gathers qualitative insights?

- A. Experiments focus on qualitative emotional reasoning
- B. Both provide identical qualitative data types
- C. Neither approach gathers qualitative insights
- D. Interviews focus on qualitative reasoning and stories

Correct Answer: D

Q5. A startup mocks up a user interface and shows it to potential customers. This is:

- A. Landing Page experiment
- B. Paper Testing
- C. Wizard of Oz
- D. Concierge Testing

Correct Answer: B

Q6. In a "Concierge" experiment, the distinguishing feature is:

- A. The team is hidden while manually providing the service
- B. The product is fully automated from the start
- C. No direct customer interaction takes place
- D. The team openly acts as the product manually

Correct Answer: D

Q7. According to the interview tips, you should "Listen, don't talk" because:

- A. Customers prefer brief meetings with minimal interaction
- B. Talking too much prevents you from gathering insights
- C. Legal requirements restrict entrepreneur communications
- D. Short interviews are always more effective

Correct Answer: B

Q8. The interview tip "Ask for introductions" is valuable because:

- A. It helps you get leads to talk to another 1-3 people
- B. It makes customers feel more important and valued
- C. It's required to validate your customer segment
- D. It reduces the cost of customer acquisition

Correct Answer: A

Q9. The Customer Development Manifesto states "No Business Plan Survives First Contact with Customers" because:

- A. Business plans are too expensive to create
- B. Customers always reject formal documentation
- C. Assumptions need validation through real interactions
- D. Investors prefer pivots over original plans

Correct Answer: C

Q10. The Manifesto principle "Fast Decision-Making" is paired with:

- A. Detailed analysis and comprehensive market research
- B. Speed and tempo
- C. Careful planning and risk mitigation strategies
- D. Consensus building across all stakeholders

Correct Answer: B

Q11. One of the 9 Deadly Sins is "Focus on launch date" which emphasizes:

- A. Meeting deadlines to maintain investor confidence
- B. Coordinating marketing campaigns effectively
- C. Execution instead of learning and iteration
- D. Building team accountability and discipline

Correct Answer: C

Q12. According to the 9 Deadly Sins, writing a business plan that doesn't allow for:

- A. Trial and error**
- B. Competitive analysis
- C. Financial forecasting
- D. Team expansion

Correct Answer: A

Q13. On the Truth Curve:Strength of Evidence, which method provides low effort with low believability?

- A. Landing Page
- B. Prototype
- C. Fantasy
- D. Live Product

Correct Answer: C

Q14. According to the tips, when should you write up your interview notes?

- A. As quickly as possible after the interview
- B. Within one week to maintain accuracy
- C. Only after conducting all interviews

D. During the interview while customers talk

Correct Answer: A

Q15. In Phase 4 "Iterate, Pivot or Proceed", the key decision factor is:

A. Current cash runway and funding availability

B. Competitive landscape and market timing

C. Team alignment and available resources

D. Whether insights justify continuing the idea

Correct Answer: D

1. The “Law of Market Failure” states that most new products fail:

- A. Even if competently executed
- B. Only when teams lack funding
- C. Due to weak technology
- D. Because of poor leadership

Answer: A

2. Why is it important to ensure you are building "The Right It" before a full launch?

- A. To ensure the product is technically perfect and bug-free.
- B. Because most new products fail even if they are competently executed.
- C. To secure a patent and prevent competitors from stealing the idea.
- D. Because a product cannot be built without a high-fidelity prototype

Answer: B

3. In FLOP, which factor relates to sales and distribution not reaching users?

- A. Premise
- B. Launch
- C. Operations
- D. Design

Answer: B

4. When users try a product but “simply don’t care,” it is mainly a failure of:

- A. Technology
- B. Operations
- C. Design
- D. Premise

Answer: D

5. Which activity focuses on answering: “*Would users actually use this?*”

- A. Market expansion
- B. Prototyping
- C. Pretotyping
- D. Product scaling

Answer: C

6. The key difference between a prototype and a pretotype is that a prototype mainly checks:

- A. Can we build it?
- B. Will users want it?
- C. Can it scale globally?
- D. Can it beat competitors?

Answer: A

7. Prototyping primarily helps reduce:

- A. Legal risk
- B. Market risk
- C. Supply chain risk
- D. Financial accounting risk

Answer: B

8. Which of the following scenarios best represents *product risk*?

- A. New competitors entering the market
- B. Users not understanding the product's value proposition
- C. The product failing to meet reliability and performance expectations
- D. The team missing internal development deadlines

Correct Answer: C

9. Which risk refers to problems in building the technology itself?

- A. Technology risk
- B. Market risk
- C. Premise risk
- D. Launch risk

Answer: A

10. Person A builds a simple landing page for an app idea and checks how many users click "Sign Up" before building the actual app.

Person B spends two weeks building a working demo with basic features. What are A and B doing respectively?

- A. A – Prototyping, B – Pretotyping
- B. A – Market research, B – Prototyping
- C. A – Pretotyping, B – Prototyping
- D. A – Validation, B – Ideation

Answer: C

11. The FLOP framework is used to distinguish between a flawed business model and poor execution. In this context, FLOP stands for:

- A. Financial mismanagement, Leadership voids, and Operational Pressures
- B. Founder misalignment, Lack of capital, and Over-taxed Production
- C. Failure of Leadership, Organizational culture, and Product-market fit
- D. Failure of Launch, Operations, and Premise

Answer: D

12. Which of the following belongs to the Pretotyping Manifesto?

- A. Move fast and break things
- B. Validate assumptions before building

- C. Data beats opinion
- D. Focus on scalability first

Correct Answer: C

13. Spending weeks building a prototype before checking user interest mainly increases:

- A. Market uncertainty
- B. Premise risk
- C. Legal exposure
- D. Technical debt

Answer: B

14. Which action best matches the idea of prototyping first?

- A. Writing detailed PRDs
- B. Building the full backend
- C. Launching nationwide
- D. Running a small fake-door test with users

Answer: D

15. Market risk is primarily about:

- A. Whether the technology works
- B. Whether operations can scale
- C. Whether customers want the offering
- D. Whether funding is available

Answer: C

Q1. In the S-Curve of Technology-Driven Innovation, the "Take off" stage is characterized by:

- A. Initial slow progress as the technology is still being explored for its fitment
- B. Rapid improvement in performance as technology is refined and adopted
- C. Performance gains slowing as technology approaches limits
- D. The replacement of technology by a new curve

Correct Answer: B

Q2. According to Amara's Law, we tend to:

- A. Accurately predict both short-term and long-term impacts
- B. Underestimate short-term and overestimate long-term impacts
- C. Overestimate short-term and underestimate long-term impacts
- D. Ignore technological impacts entirely

Correct Answer: C

Q3. In the Technology vs. Market matrix, which innovation type uses existing technology in existing markets?

- A. Radical Innovation
- B. Architectural Innovation
- C. Disruptive Innovation
- D. Incremental Innovation

Correct Answer: D

Q4. Sony's Walkman is an example of which innovation type?

- A. Architectural Innovation - reconfiguring existing tech for a new market
- B. Radical Innovation - creating breakthrough technology
- C. Incremental Innovation - small improvements to existing products
- D. Disruptive Innovation - starting low-end and overtaking the market

Correct Answer: A

Q5. In the Problem vs. Domain Maturity matrix, when both problem and domain are NOT well defined, the innovation type is:

- A. Sustaining Innovation
- B. Breakthrough Innovation
- C. Basic Research
- D. Disruptive Innovation

Correct Answer: C

Q6. In the S-Curve framework, why do early-stage technologies show slow performance improvement?

- A. Lack of customer demand
- B. Limited manufacturing scale
- C. Fundamental technical uncertainty and experimentation
- D. Regulatory barriers

Correct Answer: C

Q7. In the Technology vs. Market matrix, which innovation type introduces new technology into an existing market?

- A. Incremental Innovation
- B. Architectural Innovation
- C. Radical Innovation
- D. Disruptive Innovation

Correct Answer: C

Q8. In the Problem vs. Domain Maturity matrix, when the domain is mature but the problem is NOT well defined, the innovation focus is primarily:

- A. Applying existing solutions to a newly discovered need
- B. Conducting fundamental scientific exploration
- C. Improving performance of existing products
- D. Displacing incumbents with low-end offerings

Correct Answer: A

Q9. According to the module, disruptive innovation typically gains its initial traction by:

- A. Offering superior performance to mainstream customers
- B. Targeting overserved customers with premium features
- C. Serving customers ignored or undervalued by incumbents
- D. Competing directly on price in the core market

Correct Answer: C

Q10. The opposite of the Jobs-To-Be-Done approach primarily segments customers based on:

- A. The progress they are trying to make
- B. The context in which the job occurs
- C. Demographics or product categories
- D. Desired outcomes of the job

Correct Answer: C

Q11. According to the module, disruptive innovation:

- A. Always involves breakthrough technology from day one
- B. Begins as a niche offering that eventually overtakes established players
- C. Targets mainstream customers with superior performance initially
- D. Focuses exclusively on technological superiority

Correct Answer: B

Q12. In the Jobs to be Done framework, the "Locate" stage involves:

- A. Determining goals and planning resources
- B. Gathering items and information needed to do the job
- C. Setting up the environment to perform the job
- D. Verifying readiness to perform the job

Correct Answer: B

Q13. According to JTBD, the "Monitor" stage focuses on:

- A. Finishing the job or preparing to repeat it
- B. Making alterations to improve execution
- C. Assessing whether the job is being successfully executed
- D. Carrying out the job and preventing problems

Correct Answer: C

Q14. The key difference between Jobs-to-be-Done and Traditional Business perspective is:

- A. JTBD uses personas while traditional uses real customer insights
- B. JTBD is customer-oriented while traditional is business-oriented
- C. JTBD follows a single flow while traditional is iterative
- D. JTBD focuses on sales targets while traditional focuses on user needs

Correct Answer: B

Q15. Theodore Levitt's famous quote "People don't want a quarter-inch drill bit, they want a quarter-inch hole" illustrates:

- A. The importance of product features over customer needs
- B. The need to focus on the job customers are trying to accomplish
- C. The superiority of traditional business thinking
- D. The relevance of technological innovation alone

Correct Answer: B